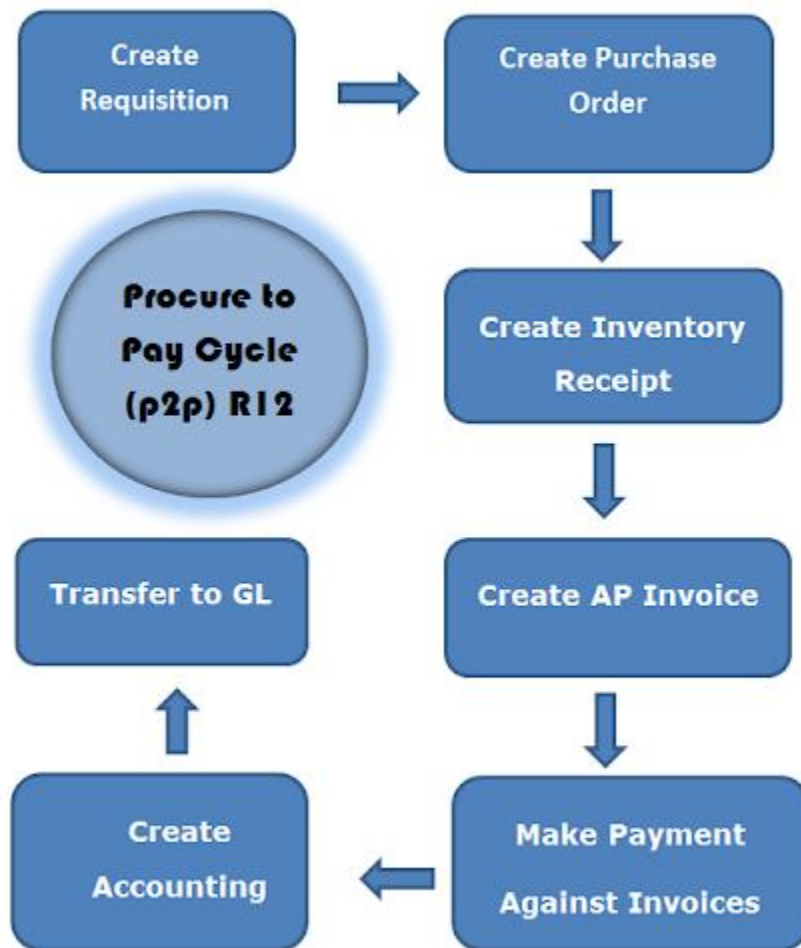


Oracle Fusion Procure to Pay Cycle



1- Create Purchase Requisition (PR)

We start by creating a Purchase Requisition.

After that, it goes through the Approval Cycle according to company policy.

2- Create Purchase Order (PO)

A supplier will never deliver goods to the company without an approved Purchase Order.

The PO clearly defines:

- What is being purchased
- Approved prices

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- Payment terms
- Delivery date
- Who requested and approved the purchase

The supplier depends on the PO as the official reference.

3- Create Inventory Receipt

Based on the Purchase Order, we receive the goods in the system.

This allows the system to know:

- Who the supplier is
- Quantities received
- Unit price
- Whether tolerances are applied

All receiving and invoicing rules are defined in the PO.

4- Create AP Invoice (Accounts Payable Invoice)

This is the invoice for the amount to be paid to the supplier.

The AP Invoice can be created based on:

- Received quantities
- Or directly against the PO

Example:

If 100 units were received, but only 80 units passed inspection and were accepted, the agreement may be to pay only for the accepted quantity.

In this case, the system ensures that the AP Invoice is created only for the accepted quantity, not the rejected items.

5- Make Payment Against Invoices

Approved supplier invoices are processed for payment.

6- Create Accounting

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All previous steps are converted into accounting entries automatically by the system.

7- Transfer to General Ledger (GL)

All accounting entries are transferred to the General Ledger, also known as the main accounting book.

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Note:

There may be additional steps between PR and PO, depending on the company's business process.

Common Optional Steps:

1- Create Purchase Requisition (PR)

Internal request approved through the approval cycle.

2- Request for Quotation (RFQ)

Request prices and terms from multiple suppliers.

3- Supplier Quotation

Suppliers respond with their price offers and conditions.

4- Negotiation / Comparison

Compare quotations based on:

- Price
- Quality
- Delivery time

5- Create Purchase Order (PO)

Select the best offer and issue an official Purchase Order.

 RFQ is part of the Sourcing / Negotiation module in Oracle Fusion.

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Manage Common Options for Payables and Procurement

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